ANNUAL REPORT

2005

CANADA BREAD
COMPANY, LIMITED

CANADA BREAD COMPANY, LIMITED

Profile

Canada Bread Company, Limited is a leading manufacturer and marketer of value-added and nutritious fresh bakery products, including white, whole wheat and whole grain bread, rolls, bagels, and artisan breads, and fresh pasta and sauces. The Company is also a large manufacturer of frozen unbaked, partially baked and fully-baked breads, rolls and bagels, serving retail in-store bakery and foodservice customers.

The Company markets products under a number of leading brands, including *Dempster's®, Olivieri®, Olafson's, McGavin's, POM®, Bon Matin,* and *Ben's®*. Other key brands include *Wholesome Harvest*, a line of premium nutrition frozen bakery products and the *New York Bagel* brand in the United Kingdom.

Canada Bread employs more than 7,300 people in Canada, the United States and the United Kingdom. The Company is 87.5% owned by Maple Leaf Foods Inc. and its common shares are listed on the Toronto Stock Exchange under the symbol CBY.

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MESSAGE TO SHAREHOLDERS

Dear Shareholders:

Canada Bread has enjoyed another year of strong earnings growth. We are penetrating the established fresh bakery marketplace with higher value branded products while making new inroads in the frozen bakery sector.

Meeting consumer needs for more nutritious foods, we continue to enhance our product mix with new and exciting wheat and whole grain breads under our *Dempster's*® and *Wholesome Harvest* brands, as well as regional brands like *McGavin's, Bon Matin* and *Ben's*®.

Our responsiveness to a healthier balanced approach to eating is also driving sales of *Olivieri*® fresh pasta and sauces. We are winning major national customers in Canada and the U.S. for our pasta and sauces, supported by our line of higher nutrition *NutriWise* products made from whole wheat and flax. To keep pace with demand, we will be expanding capacity at our plant in British Columbia.

But making better products alone does not make a great bakery company. Taking care of customers is critically important and our customer service has changed dramatically over the years. It is showing up in many ways, such as helping merchants with more effective category management and in-store displays, continuously keeping shelves well stocked and removing dated products. The result is well-satisfied customers and improved profitability.

Our commitment to innovation delivers efficiencies, cost savings, and growth potential for our customers and superior products to consumers. An example in frozen bakery is *FroBake*®, our patented freezer-to-oven dough. It eliminates hours of proofing and retarding, while offering artisan like quality. With the completion of our new production line in Roanoke, Virginia, we are now selling *FroBake*® throughout the United States.

A dramatic example of our entry into new markets is our bagel business in Britain. Our new bagel plant in Rotherham is able to produce 50 percent more bagels per hour with improved plant efficiencies. Bagels are gaining ground in the U.K., along with specialty items such as pretzels and ethnic breads. Impressive sales gains are anticipated in 2006, providing a platform for expansion into continental Europe. Our goal is to establish the *New York Bagel* brand as the market leader.

We are at the leading edge of consumer trends and forging deep customer alliances by delivering superior service and innovative products. Our market leadership is supporting productivity gains, while our passion for the bakery business is driving new category and market growth. We look forward to another year of strong achievement.



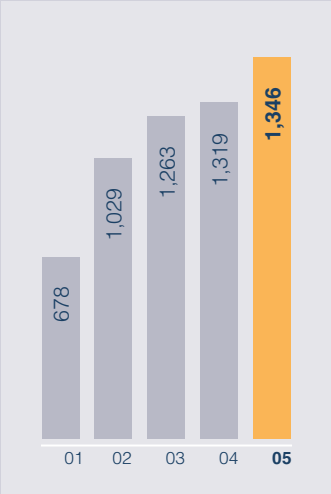
Richard A. Lan
President and
Chief Executive Officer



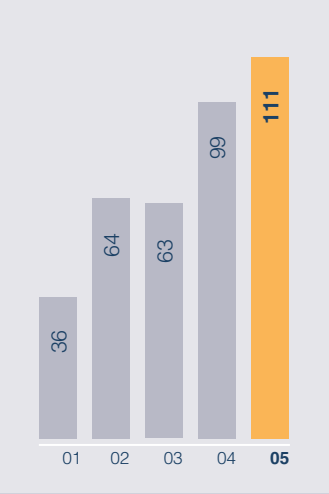
Michael H. McCain
Chairman of the Board

Financial Highlights

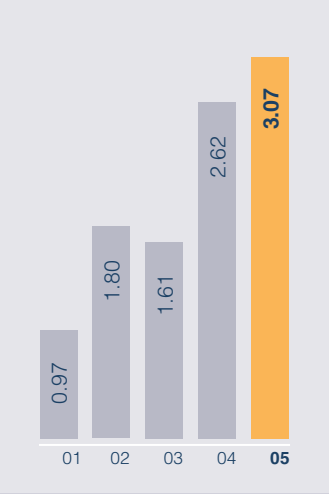
(In millions of Canadian dollars except per share information)	2005	2004	2003	2002	2001
Consolidated results					
Sales	**$ 1,346**	$ 1,319	$ 1,263	$ 1,029	$ 678
Earnings from operations before restructuring costs	**111**	99	63	64	36
Net earnings	**75**	67	36	39	21
Per share					
Net earnings before restructuring costs	**$ 3.07**	$ 2.62	$ 1.61	$ 1.80	$ 0.97
Dividends	**0.24**	0.24	0.24	0.24	0.24
Book value	**21.05**	18.75	16.42	13.29	11.73
Number of shares (millions)					
Weighted average	**25.4**	25.4	25.1	21.4	21.4
Outstanding at December 31	**25.4**	25.4	25.4	21.4	21.4



SALES
(millions of dollars)



EARNINGS FROM OPERATIONS
Before restructuring costs (millions of dollars)



EARNINGS PER SHARE
Before restructuring costs (dollars)

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Management's Discussion & Analysis

THE BUSINESS

Canada Bread Company, Limited ("Canada Bread" or "the Company"), which is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf"), is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company employs approximately 7,300 people at its operations across North America and in the United Kingdom.

EFFECT OF RESTRUCTURING AND OTHER ITEMS

Operating earnings, net earnings, and earnings per share ("EPS") comparisons for the year exclude $4.7 million of restructuring costs ($3.2 million after tax) recorded in the first quarter of 2005. Management believes that this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of continuing operations. Year-over-year and quarterly comparisons are also affected by the inclusion of an additional week of operations in the fourth quarter of 2004.

SELECTED FINANCIAL HIGHLIGHTS

The following is a summary of audited financial information for the three years ended December 31, 2005 (in thousands of dollars except per share information).

	2005	2004	2003
Sales	**$1,346,481**	$ 1,318,865	$1,262,811
Operating earnings before restructuring costs	**111,072**	98,970	62,941
Net earnings	**74,922**	66,648	35,633
Net earnings before restructuring costs	**78,141**	66,648	40,435
Total assets	**761,363**	767,643	779,954
Net debt	**20,927**	82,514	162,123
Per Share			
Net earnings	**$ 2.95**	$ 2.62	$ 1.42
Net earnings before restructuring costs	**3.07**	2.62	1.61
Cash dividends	**0.24**	0.24	0.24

RESULTS OF OPERATIONS

The Company recorded significant earnings growth in 2005, as it continued to benefit from meeting consumer needs with a selection of value-added and highly nutritious bakery products and improved operational efficiencies. Strong earnings momentum during the first half slowed by the fourth quarter when the Company was significantly impacted by higher fuel, energy and other inflationary costs. Price increases have been implemented in early 2006 to offset these rising costs, and the Company is well positioned for the long term with strong brands and new product innovations.

Sales for the year of $1.3 billion increased 2% compared to last year. Earnings from operations for the year increased 12% to $111.1 million from $99.0 million last year. Net earnings before restructuring costs of $78.1 million ($3.07 per share), compared to $66.6 million ($2.62 per share) last year. Including restructuring costs, year-to-date net earnings were $74.9 million ($2.95 per share).

OPERATING SEGMENTS

The Company's operations are classified into two primary business segments, which have been used for operating segment disclosures for all years presented. Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces. Frozen Bakery includes North American and United Kingdom ("U.K.") frozen bakery products including frozen par-baked and specialty bakery products.

OPERATING REVIEW

The following table, which forms the basis of discussion in this document of the Company's results of operations, reflects operating earnings by business group before restructuring costs.

Earnings from Operations:

($ millions)	**2005**	2004	Change	2003
Fresh Bakery	**$ 82.0**	$ 67.2	22%	$ 37.0
Frozen Bakery	**29.1**	31.8	(8%)	25.9
	$ 111.1	$ 99.0	12%	$ 62.9

Fresh Bakery: Fresh Bakery sales for the full year were $951.9 million compared to $929.5 million last year, while earnings from operations for the year increased to $82.0 million from $67.2 million last year. Strong sales of branded whole grain, whole wheat and specialty breads, higher prices and improved efficiencies in some key bakeries contributed to earnings growth for the year, despite pressures from higher energy and other input costs, and increased investment in advertising and

Management's Discussion & Analysis

promotional spending in the fourth quarter of 2005. The *Olivieri* pasta and sauce business experienced year-over-year sales growth and volume recovery, benefiting from a reduction in low carbohydrate diets.

Frozen Bakery: Sales for the year increased to $394.6 million from $389.4 million last year, while earnings from operations for the year declined to $29.1 million from $31.8 million. The North American frozen business experienced significant increases in fuel and energy costs which offset operational improvements in freight and distribution. The U.K. bakery benefited from sales growth largely due to overall market growth of 18%. Full year earnings growth in 2005 was more than offset by additional costs related to the commissioning of a new U.K. bagel plant, increased advertising investment earlier in the year and higher energy and flour costs.

Other Income: Other income for the year increased to $1.9 million from $0.1 million in 2004. The increase was primarily due to gains on fixed asset disposals in the Fresh Bakery as excess real estate was disposed of.

Restructuring Costs: During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after-tax) primarily in respect of the closure of its bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing agreement with Maple Leaf. These restructuring activities were substantially completed during the year and the Company expects to complete the remainder in 2006.

Interest Expense: Interest expense of $5.4 million compared to $6.8 million in 2004 principally due to lower debt levels as the Company generated strong free cash flow that was used to pay down debt. The Company's average effective cost of borrowing was 3.4% (2004: 2.7%).

Income Taxes: Income tax expense increased to $27.9 million from $25.6 million in 2004 as pre-tax earnings increased. The Company's effective tax rate was 27.1% in 2005 compared to 27.8% in 2004. Components of the changes are provided in Note 13 to the Consolidated Financial Statements.

TRANSACTIONS WITH RELATED PARTIES

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting, investor relations and access to bulk purchasing programs. Furthermore, Maple Leaf also provides other specific services, namely information systems and engineering support. Details of amounts paid in respect of these services are set out in Note 15 to the Consolidated Financial Statements.

CAPITAL RESOURCES AND LIQUIDITY

The bakery industry is generally characterized by high sales volumes and rapid turnover of inventories and accounts receivable. Investment in working capital is also affected to some extent by fluctuations in the prices of raw materials, seasonal and other market-related fluctuations.

Historically, the Company has consistently generated a significant amount of operating cash that has more than covered financing needs related to operational capital expenditures and restructuring expenses. These operating cash flows provide a strong base of underlying liquidity, which the Company has supplemented with credit facilities to provide longer-term funding required for its strategic investing activities.

Cash Flow from Operations: Operating cash flow for the year of $111.7 million compared to $142.7 million last year. An increase in net earnings offset by a $46.1 million reduction in changes in non-cash working capital mainly due to a $20.0 million expansion of the Company's accounts receivable securitization program and a large increase in taxes payable, both of which occurred in 2004.

Capital Expenditures: Capital spending for the year of $54.7 million compared to $69.6 million last year. The decline in capital spending reflects the substantial completion of payments for the U.K. bagel plant in the fourth quarter of 2004.

The Company owns or leases approximately 35 manufacturing facilities, and a supporting network of distribution facilities and offices. These facilities require a minimum level of maintenance spending to keep them in appropriate condition, and the Company also has a strategy of continued re-investment in technology and process in these facilities that ensures relative

competitiveness and reduces the cost of production. In addition to this, the Company will further invest in incremental production capacity where warranted.

Debt Facilities: To provide additional liquidity, the Company and its subsidiaries had aggregate credit facilities (excluding accounts receivable securitization programs) of $281.9 million (2004: $250.5 million), of which $40.4 million (2004: $99.7 million) was utilized (including $8.1 million in respect of letters of credit) at December 31, 2005.

On October 26, 2005, the Company reached an agreement with Maple Leaf to amend its revolving credit agreement. In accordance with the new financing arrangement, the term of the facility has been extended for three years, maturing on December 27, 2008. To provide additional liquidity, the principal amount of the facility has been increased from $169.0 million to $250.0 million and the borrowing rate has been reduced to reflect lower credit spreads consistent with current market trends. Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option does not exist under the amended facility.

To access competitively priced financing, and to further diversify its funding sources, the Company operates an accounts receivable financing facility. At year end, the Company had $70.0 million (2004: $70.0 million) outstanding under this facility.

Contractual Obligations: The following table provides payment information as at December 31, 2005 about certain of the Company's material contractual obligations.

		Payments due by fiscal year					
($ millions)	Total	2006	2007	2008	2009	2010	After 2010
Long-term debt	32.3	0.2	0.1	32.0	–	–	–
Lease obligations	43.2	13.5	10.3	7.5	4.2	2.6	5.1
Total contractual obligations	75.5	13.7	10.4	39.5	4.2	2.6	5.1

Management is of the opinion that its cash flow and sources of financing provide the Company with sufficient resources to finance ongoing business requirements and its planned capital expenditure program. As at December 31, 2005, the Company was in compliance with all debt covenants. Additional details concerning financing are set out in the Notes to the Consolidated Financial Statements.

DERIVATIVES

Inherent in the bakery business is some exposure to market risks from changes in commodity prices (primarily wheat), interest rates and foreign exchange rates. When considered appropriate, these exposures may be managed by the use of derivative financial instruments, including interest rate swaps, currency contracts, commodity futures and options. Information on the Company's material year end derivative hedge positions is set out in Note 7 to the Consolidated Financial Statements. If the Company had not entered into these contracts, operating earnings for 2005 would have been lower by $0.6 million (2004: $0.5 million) and interest expense would have been higher by $1.4 million (2004: $1.4 million).

Management hedges commodities when it determines that conditions are appropriate to mitigate risks and reduce the risk of loss from adverse changes in commodity prices. The Company attempts to closely match commodity contract terms with the underlying hedged exposure and continually measures the effectiveness of the hedge in place.

The Company enters into interest rate swaps that effectively fix a portion of the interest payment on its interest bearing debt and securitization program. At December 31, 2005, 82% (2004: 70%) of the Company's exposure to interest rate fluctuations was hedged or fixed. The Company periodically enters into foreign exchange hedges to fix certain of its foreign currency exposure.

All hedging and derivative activity is in accordance with risk management policies that specify both the type of allowed derivatives, maximum trading exposures and the definition of allowable hedge activity.

During 2005, there were no material derivative gains or losses related to hedge ineffectiveness and no hedges were discontinued in 2005 as a result of it becoming probable that a forecasted transaction would not occur.

In general, the Company holds derivative contracts to maturity as they are matched with the underlying commodity, interest rate or foreign exchange exposure. The financial impact, should the Company terminate and settle these arrangements, is disclosed in Note 7 to the Consolidated Financial Statements. There are no other obligations or liabilities under these arrangements that may require further funding by the Company.

SHARE CAPITAL AND DIVIDENDS

During 2005 and 2004, the Company declared an aggregate yearly dividend of $0.24 per common share. This represents aggregate dividend payments of $6.1 million in each of 2005 and 2004.

As of January 31, 2006, there were 25,416,812 common shares of the Company issued and outstanding.

ENVIRONMENT

The Company is conscious of its environmental responsibilities. Each of its businesses operates within the framework of an environmental policy entitled "Our Environmental Commitment" that is approved by the Board of Directors' Human Resources and Corporate Governance Committee. The Company's environmental program is monitored on a regular basis by the Committee, including compliance with regulatory requirements, the use of internal environmental specialists and independent, external environmental analyses. The Company continues to invest in environmental infrastructure related to water, waste and air emissions to ensure that environmental standards continue to be met or exceeded, while implementing procedures to minimize the impact of operations on the environment. Expenditures related to current environmental requirements are not expected to have a material effect on the financial position or earnings of the Company.

RISK FACTORS

The Company operates in the food processing sector, and is therefore subject to risks and uncertainties related to these businesses that may have adverse effects on the Company's results of operations and financial position. Some of these risks and uncertainties are outlined below. Prospective investors should carefully review and evaluate the following risk factors together with all of the other information contained in this report. The risk factors described below are not the only risk factors facing the Company. The Company may be subject to risks and uncertainties not described below that the Company is not presently aware of or that the Company may currently deem insignificant.

Food Safety and Consumer Health: The Company is subject to risks that affect the food industry in general, including risks posed by food spoilage or contamination, consumer product liability, and the potential costs and disruptions of a product recall. The Company actively manages these risks by maintaining strict and rigorous controls and processes in its manufacturing facilities and distribution systems. The Company's facilities are subject to audit by federal health agencies in Canada and similar institutions outside of Canada, and performs its own audits to ensure compliance with its internal standards, which are generally at or higher than regulatory agency standards. However, the Company cannot guarantee that compliance with procedures and regulations will necessarily mitigate the risks related to food safety.

Foreign Currencies: A significant amount of the Company's revenues and costs are either denominated in or directly linked to currencies (primarily U.S. dollars) other than the Canadian dollar. Due to the diversity of the Company's operations, normal fluctuations in these other currencies have relatively small impacts on the Company's profitability due to (a) "natural hedges" or offsetting currency exposure (for example, when revenues and costs are both linked to other currencies) or (b) an ability to change prices of its products to offset adverse currency movements. As a result, currency fluctuations would not normally be considered a material risk to the Company. However, in periods when the Canadian dollar appreciates both rapidly and materially against the U.S. dollar, revenues linked to U.S. dollars are immediately reduced while the Company's ability to change prices or realize on natural hedges may lag the immediate currency changes. The effect of such sudden change in exchange rates can have a significant impact on the Company's earnings. Over time, the Company reduces this risk by realizing natural hedges, increasing prices, or where possible or necessary, reducing costs. The Company's earnings related to the U.K. may also be affected, adversely or favourably, by foreign currency translation.

Commodity: The Company is a purchaser of certain commodities, such as wheat and natural gas in the course of normal operations. The Company may use commodity futures and options for hedging purposes to reduce the effect of changing prices in the short term. On a longer term basis, the Company manages the risk of increases in commodities and other input costs by increasing the price it charges to its customers.

Governmental Regulation and Changes in Legislation: The Company's operations are subject to extensive regulation by government agencies in the countries in which it operates including the Canadian Food Inspection Agency. These agencies regulate the processing, packaging, storage, distribution, advertising and labelling of the Company's products, including food safety standards. The Company's manufacturing facilities and products are subject to inspection by federal, provincial and local authorities. The Company believes that it is currently in material compliance with all laws and regulations and maintains all material permits and licences relating to its operations. Nevertheless, there can be no assurance that the Company is in compliance with such laws and regulations or that it will be able to comply with such laws and regulations in the future. Failure by the Company to comply with applicable laws and regulations could subject the Company to civil remedies, including fines, injunctions, recalls or seizures, as well as potential criminal sanctions, which could have a material adverse effect on the Company. Various governments throughout the world are considering regulatory proposals relating to genetically modified organisms, drug residues or food ingredients, food safety and market and environmental regulation that, if adopted, may increase the Company's costs. If any of these or other proposals are enacted, the Company could experience a disruption in supply and may be unable to pass on the cost increases to its customers without incurring volume loss as a result of higher prices.

Environmental Regulation: The Company's operations are subject to extensive environmental laws and regulations pertaining to the discharge of materials into the environment and the handling and disposition of wastes (including solid and hazardous wastes) or otherwise relating to protection of the environment. Failure to comply can have serious consequences, such as criminal as well as civil penalties, liability for damages, and negative publicity to the Company. The Company has incurred and will continue to incur capital and operating expenditures to comply with such laws and regulations. No assurances can be given that additional environmental issues relating to presently known matters or identified sites or to other matters or sites will not require additional expenditures, or that requirements applicable to the Company will not be altered in ways that will require the Company to incur significant additional costs. In addition, certain of the Company's facilities have been in operation for many years and, over such time, the Company and other prior operators of such facilities have generated and disposed of wastes which are or may be considered hazardous. Future discovery of previously unknown contamination of property underlying or in the vicinity of the Company's present or former properties or manufacturing facilities and/or waste disposal sites could require the Company to incur material unforeseen expenses. Occurrences of any such events may have a material affect on the Company's financial results and financial condition.

Consolidating Customer Environment: As the retail grocery and foodservice trades continue to consolidate and customers grow larger, the Company is required to adjust to changes in purchasing practices and customer sophistication, as failure to do so could result in losing sales volumes and market share. The Company's net sales and profitability could also be affected by deterioration in the financial condition of, or other adverse developments in the relationship with, one or more of its major customers.

Leverage: The terms of the Company's credit facilities include covenants which could limit the Company's operating and financial flexibility. The Company's ability to make scheduled payments of principal or interest on, or refinance, its indebtedness depends on its future business performance, which is subject to economic, financial, competitive and other factors beyond its control. Any failure by the Company to satisfy its obligations with respect to its indebtedness at maturity or prior thereto would constitute a default under such indebtedness and could cause a default under the agreements governing other indebtedness, if any, of the Company.

Management's Discussion & Analysis

Pandemic: The Company is subject to risks that affect agriculture, and disease affecting its employees, such as a pandemic. These risks can result in disruptions of trade, consumer confidence issues, and impact the Company's ability to manufacture, ship products and perform core business processes. The Company actively manages these risks by maintaining a general emergency response process. These processes involve prevention, preparedness including emergency simulations, response and recovery plans. In 2005, the Company initiated a project to update its emergency response plans to more thoroughly address pandemic implications. An annual update to these plans will occur each year to maintain relevance and priority, and annual simulations of various emergencies form the basis for continuous improvement. The Company monitors the World Health Organization ("WHO") and other alert systems worldwide, to enable prompt reaction to any specific issues. However, not all services procured by the Company may be subject to these processes, as it depends on independent third parties for many aspects of the business, such as transportation. The Company cannot guarantee that an outbreak of pandemic in Canada will not have a material adverse effect on the Company's financial statements.

CRITICAL ACCOUNTING ESTIMATES

The preparation of the Company's consolidated financial statements requires management to make certain estimates and assumptions. The estimates and assumptions are based on the Company's experience combined with management's understanding of current facts and circumstances. These estimates may differ from actual results, and certain estimates are considered critical as they are both important to reflect the Company's financial position and results of operations and require a significant or complex judgment on the part of management.

The following is a summary of certain accounting estimates or policies considered critical by the management of the Company.

Goodwill: This is tested for impairment annually and as part of this test the Company assesses the value of goodwill of its various reporting units. The Company's goodwill was tested in the second quarter of 2005 and no impairment in the value of goodwill had occurred.

Reserve for Bad Debts: The Company provides for individual non-collectible or doubtful accounts. Estimation of recoverable amounts is based on management's best estimate of a customer's ability to settle its obligations, and actual amounts received may be affected by various factors, including industry conditions and changes in individual customer financial condition.

Trade Merchandise Allowances and Other Trade Discounts: The Company provides for estimated payments to customers based on various trade programs and contracts, which includes payments upon attainment of certain sales volumes. Significant estimates used to determine these liabilities include the level of customer performance and the historical promotional expenditure rate versus contracted rates.

Employee Benefit Plans: The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance (7.5%), salary escalation (4%), retirement ages of employees and expected heath care costs. Discount rates used in actuarial calculations are based on long-term interest rates and can have a material effect on the amount of plan liabilities.

A 1% change in health care cost trend would not have a significant impact on the year end obligation or the 2005 current service costs and interest costs.

Taxes: The provision for income taxes is based on domestic and international statutory income tax rates and tax planning opportunities available to the Company in the jurisdictions in which it operates. Significant judgment is required in determining income tax provisions and in evaluating tax positions. The Company establishes additional provisions for income taxes when, despite the belief that existing tax positions are fully supportable, there remain certain tax provisions that may be reviewed by tax authorities. The Company adjusts these additional accruals in light of changing facts and circumstances. The tax provision includes the impact of changes to accruals that are considered appropriate.

Restructuring Reserves: The Company evaluates accruals related to restructuring at each reporting date to ensure these accruals are still appropriate. In certain instances, management may determine that these accruals are no longer required because of efficiencies in carrying out restructuring activities. In certain circumstances, management may determine that certain accruals are insufficient as new events occur or as additional information is obtained.

CHANGE IN ACCOUNTING POLICIES

Convertible Debt: Effective January 1, 2005, the Company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation" on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revisedstandard, the Company retroactively reclassified $20.0 million of convertible debt as a liability on the balance sheet. The Company had previously included $20 million related to a debt facility with Maple Leaf in shareholders' equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

Variable Interest Entities ("VIEs"): The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of VIEs, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this guideline did not have a material impact on the Company.

Sales Classification: New guidance provided by EIC Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer (including a reseller of the vendor's products)" requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. This EIC is effective for fiscal and interim periods beginning on or after January 1, 2006. The Company will adopt this standard retroactively as of January 1, 2006 as required.

The impact of the adoption of this standard will reduce sales by approximately $119.5 million (2004: $111.6 million), with no impact on net earnings or EPS as follows.

($ millions)	1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
2005					
Reported sales	**316.9**	**344.6**	**346.1**	**338.9**	**1,346.5**
Trade merchandising allowances and other discounts	27.5	30.3	31.6	30.1	119.5
Adjusted sales	**289.4**	**314.3**	**314.5**	**308.8**	**1,227.0**
2004					
Reported sales	305.4	329.7	335.7	348.1	1,318.9
Trade merchandising allowances and other discounts	25.1	27.4	28.7	30.4	111.6
Adjusted sales	280.3	302.3	307.0	317.7	1,207.3

RECENT ACCOUNTING PRONOUNCEMENTS

In 2005, the Canadian Accounting Standards Board issued three new standards that introduce new requirements for the recognition and measurement of financial instruments that are based on and similar to standards issued by the Financial Accounting Standards Board in the U.S. and the International Accounting Standards Board.

Comprehensive Income: Section 1530 requires that entities present comprehensive income and its components, as well as net income in its financial statements. Comprehensive income is the change in equity of an enterprise during a period from transactions and other events from non-owner sources. It includes all changes in equity during a period except those resulting from investments by and distributions to owners.

Financial Instruments: Section 3855 requires that all financial assets be classified as held for trading, held to maturity, loans and receivables or available for sale. All derivative instruments, including those that are embedded in, but not closely related to, another contract must be classified as held for trading. Financial assets and liabilities classified as held for trading must be measured at fair value with gains and losses recognized in the periods in which they arise. Financial assets classified as held to maturity, loans and receivables, and financial liabilities not classified as held for trading, must be measured at their amortized cost. Financial assets classified as available for sale are measured at fair value with gains and losses recognized in other comprehensive income until the underlying financial asset is derecognized or becomes impaired.

Hedges: Section 3865 establishes standards for when and how hedge accounting may be applied. The standard requires that hedges be designated as either fair value hedges, cash flow hedges or hedges of a net investment in a self-sustaining operation. For a fair value hedge, the gain or loss on the hedging item is recognized in earnings in the period of change together with the offsetting change attributable to the hedged risk. For a cash flow hedge, as well as a hedge of a net investment in a self-sustaining foreign operation, the effective portion of the gain or loss on the hedging item is initially reported in other comprehensive income and subsequently recognized in earnings when the hedged item affects earnings.

These three new accounting standards are effective for fiscal years beginning on or after October 1, 2006 and would therefore be applicable to the Company's 2007 fiscal year. The Company has not yet determined the impact of these new standards on its operations and financial condition.

Variable Interest Entities: In October 2005, EIC-157 "Implicit Variable Interests under AcG-15" was issued which clarifies that a reporting enterprise should consider whether it holds an implicit variable interest in a VIE or potential VIE. The Committee also reached a consensus that the determination of whether an implicit variable interest exists should be based on whether the reporting enterprise may absorb variability of the VIE or potential VIE. The Company adopted the guidance in AcG-15 retroactively without restatement of prior periods, effective January 1, 2005. The adoption of this guideline did not have a material impact on the Company.

Conditional Asset Retirement Obligations: In December 2005, the EIC released abstract EIC-159, "Conditional Asset Retirement Obligations". A conditional asset retirement obligation is an obligation associated with the retirement of a long-lived asset where the timing and/or method of settlement are conditional on a future event. To address the issue of when to recognize such an obligation, the Committee reached a consensus that a liability be recognized at fair value when the fair value of the obligation can be reasonably estimated. Should the fair value of the obligation not be reasonably estimable, this fact and its reason(s) are to be disclosed. The Company does not anticipate this EIC to have any impact on its results or financial position.

RESPONSIBILITY OF MANAGEMENT AND BOARD OF DIRECTORS

Management is responsible for the reliability and timeliness of content disclosed in the MD&A, which is current as of February 21, 2006. Management also acknowledges responsibility for the existence and effectiveness of systems, controls and procedures to ensure that information used internally by management and disclosed externally is reliable and timely.

It is the responsibility of the Audit Committee to provide oversight in reviewing the MD&A and the Board of Directors to approve the MD&A. The Board of Directors and the Audit Committee review all material matters relating to the necessary systems, controls and procedures in place to ensure the appropriateness and timeliness of MD&A disclosures.

SUMMARY OF QUARTERLY RESULTS

The following is a summary of unaudited quarterly financial information for the eight interim periods ended December 31, 2005 (in thousands of dollars except per share information).

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	**2005**	**$ 316,861**	**$ 344,610**	**$ 346,144**	**$ 338,866**	**$ 1,346,481**
	2004	305,412	329,668	335,707	348,078	1,318,865
Net earnings	**2005**	**11,885**	**21,262**	**23,038**	**18,737**	**74,922**
	2004	12,549	15,799	19,048	19,252	66,648
Net earnings before restructuring costs	**2005**	**15,104**	**21,262**	**23,038**	**18,737**	**78,141**
	2004	12,549	15,799	19,048	19,252	66,648
Earnings per share ($)						
Basic	**2005**	**$ 0.47**	**$ 0.84**	**$ 0.91**	**$ 0.74**	**$ 2.95**
	2004	0.49	0.62	0.75	0.76	2.62
Basic before restructuring costs	**2005**	**0.59**	**0.84**	**0.91**	**0.74**	**3.07**
	2004	0.49	0.62	0.75	0.76	2.62
Diluted	**2005**	**0.47**	**0.83**	**0.90**	**0.74**	**2.93**
	2004	0.48	0.61	0.73	0.75	2.57

For an explanation and analysis of quarterly results, refer to the MD&A in the 2005 Interim Reports to Shareholders filed on SEDAR and also available on the Company's website at www.canadabread.ca.

FORWARD-LOOKING STATEMENTS

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, objectives, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict. Therefore, actual outcomes and results may differ materially from what is expressed, implied or forecasted in such forward-looking statements. The Company does not intend, and the Company disclaims any obligation to update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise.

These forward-looking statements are based on a variety of factors and assumptions including, but not limited to: the condition of the Canadian and U.S. economies, the rate of appreciation of the Canadian dollar versus the U.S. dollar, the availability and prices of raw materials, energy and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. These assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party industry analysts. Actual results may differ materially from those predicted by such forward-looking statements. While the Company does not know what impact any of these differences may have, its business, results of operations, financial condition and the market price of its securities may be materially adversely affected. Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements include, among other things: the risks posed by food contamination, consumer liability and product recalls; the risks related to the creditworthiness of customers to whom the Company extends credit; the Company's exposure to currency exchange risks; the impact of international events on commodity prices and the free flow of goods; the risks posed by compliance with extensive government regulation; the risk due to the consolidating customer environment; leverage risk and the risk posed by pandemic.

Management's Statement of Responsibility

Management recognizes its responsibility for conducting the Company's affairs in the best interests of all its shareholders. The Consolidated Financial Statements and related information in the annual report are the responsibility of management. The Consolidated Financial Statements have been prepared in accordance with Canadian generally accepted accounting principles, which involve the use of judgment and estimates in applying the accounting principles selected. Other financial information in the annual report is consistent with that in the Consolidated Financial Statements.

The Company maintains systems of internal controls, which are designed to provide reasonable assurance that accounting records are reliable and to safeguard the Company's assets. The Company's independent auditors, KPMG LLP, Chartered Accountants, have audited and reported on the Company's Consolidated Financial Statements. Their opinion is based upon audits conducted by them in accordance with Canadian generally accepted auditing standards to obtain reasonable assurance that the Consolidated Financial Statements are free of material misstatement.

The Audit Committee of the Board of Directors, all of whom are independent of the Company or any of its affiliates, meets periodically with the independent external auditors, the internal auditors and management representatives to review the internal accounting controls, the consolidated quarterly and annual financial statements and other financial reporting matters. Both the internal and independent external auditors have unrestricted access to the Audit Committee. The Audit Committee reports its findings and makes recommendations to the Board of Directors.

February 21, 2006



Richard A. Lan
President and
Chief Executive Officer



Michael H. Vels
Chief Financial Officer

Auditors' Report to the Shareholders

We have audited the consolidated balance sheets of Canada Bread Company, Limited as at December 31, 2005 and 2004 and the consolidated statements of earnings, retained earnings and cash flows for the years then ended. These financial statements are the responsibility of the Company's management. Our responsibility is to express an opinion on these financial statements based on our audits.

We conducted our audits in accordance with Canadian generally accepted auditing standards. Those standards require that we plan and perform an audit to obtain reasonable assurance whether the financial statements are free of material misstatement. An audit includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation.

In our opinion, these consolidated financial statements present fairly, in all material respects, the financial position of the Company as at December 31, 2005 and 2004 and the results of its operations and its cash flows for the years then ended in accordance with Canadian generally accepted accounting principles.



Chartered Accountants
Toronto, Canada
February 21, 2006

ANNUAL REPORT

Consolidated Balance Sheets

As at December 31 (In thousands of Canadian dollars)	2005	2004
ASSETS		
Current Assets:		
Cash and cash equivalents	**$ 11,382**	$ 9,312
Accounts receivable (Note 3)	**22,070**	24,148
Inventories (Note 4)	**35,955**	33,504
Future tax asset - current (Note 13)	**5,327**	5,193
Prepaid expenses	**2,142**	2,103
	76,876	74,260
Property and equipment (Note 5)	**353,669**	354,128
Goodwill	**314,949**	324,237
Other long-term assets	**1,252**	3,386
Future tax asset - non-current (Note 13)	**8,669**	5,465
Other intangibles	**5,948**	6,167
	$ 761,363	$ 767,643
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current Liabilities:		
Accounts payable and accrued charges	**$ 136,385**	$ 145,784
Due to Maple Leaf Foods Inc.	**4,736**	140
Dividends payable	**1,525**	1,525
Income and other taxes payable	**22,624**	26,501
Current portion of long-term debt (Note 6)	**226**	91,482
	165,496	265,432
Long-term debt (Note 6)	**32,083**	344
Future tax liability (Note 13)	**23,303**	21,780
Other long-term liabilities (Note 8)	**5,749**	3,626
Shareholders' equity (Note 9)	**534,732**	476,461
	$ 761,363	$ 767,643

Contingencies and commitments (Note 17)
See accompanying Notes to the Consolidated Financial Statements

On behalf of the Board:



Richard A. Lan
Director



William E. Aziz
Director

Consolidated Statements of Earnings

Years ended December 31 (In thousands of Canadian dollars, except share amounts)	2005	2004
Sales	**$ 1,346,481**	$ 1,318,865
Earnings from operations before restructuring costs	**$ 111,072**	$ 98,970
Restructuring costs (Note 10)	**(4,723)**	–
Earnings from operations	**106,349**	98,970
Other income (expense) (Note 11)	**1,868**	125
Earnings before interest and income taxes	**108,217**	99,095
Interest expense (Note 12)	**5,386**	6,837
Earnings before income taxes	**102,831**	92,258
Income taxes (Note 13)	**27,909**	25,610
Net earnings	**$ 74,922**	$ 66,648
Earnings per share – basic (Note 18)	**$ 2.95**	$ 2.62
Earnings per share – diluted (Note 18)	**$ 2.93**	$ 2.57
Weighted average number of shares (millions)	**25.4**	25.4

See accompanying Notes to the Consolidated Financial Statements

Consolidated Statements of Retained Earnings

Years ended December 31 (In thousands of Canadian dollars)	2005	2004
Retained earnings, beginning of year	**$ 337,827**	$ 277,279
Net earnings	**74,922**	66,648
Dividends declared ($0.24 per share; 2004: $0.24 per share)	**(6,100)**	(6,100)
Retained earnings, end of year	**$ 406,649**	$ 337,827

See accompanying Notes to the Consolidated Financial Statements

ANNUAL REPORT

Consolidated Statements of Cash Flows

Years ended December 31 (In thousands of Canadian dollars)	2005	2004
CASH PROVIDED BY (USED IN):		
Operating Activities		
Net earnings	**$ 74,922**	$ 66,648
Add (deduct) items not affecting cash:		
Depreciation	**44,351**	42,288
Future income taxes	**(1,814)**	(12,101)
(Gain)/loss on sale of property and equipment	**(1,695)**	19
Other	**(428)**	3,360
Change in non-cash operating working capital	**(3,590)**	42,518
	111,746	142,732
Financing Activities		
Dividends paid	**(6,100)**	(6,100)
Increase in long-term debt	**38,300**	13,779
Decrease in long-term debt	**(92,539)**	(78,748)
	(60,339)	(71,069)
Investing Activities		
Additions to property and equipment	**(54,730)**	(69,622)
Proceeds from sale of property and equipment	**5,585**	1,051
Purchase of net assets of business, net of cash acquired (Note 16)	**–**	(5,894)
Change in intangible assets	**(192)**	586
	(49,337)	(73,879)
Increase/(decrease) in cash and cash equivalents	**2,070**	(2,216)
Cash and cash equivalents, beginning of year	**9,312**	11,528
Cash and cash equivalents, end of year	**$ 11,382**	$ 9,312
SUPPLEMENTAL CASH FLOW INFORMATION:		
Net interest paid	**$ 5,890**	$ 6,557
Net income taxes paid	**33,176**	15,602

See accompanying Notes to the Consolidated Financial Statements

Notes to Consolidated Financial Statements

Years ended December 31, 2005 and 2004 (Tabular amounts in thousands of Canadian dollars, except share amounts)

1. THE COMPANY

Canada Bread Company, Limited ("Canada Bread" or the "Company") and its subsidiaries operate in the bakery industry across North America and internationally. Its principal business is the manufacture and sale of bakery and pasta products, including fresh bread, rolls, bagels and par-baked bread. Canada Bread is 87.5% owned by Maple Leaf Foods Inc. ("Maple Leaf").

2. SIGNIFICANT ACCOUNTING POLICIES

The following are the significant accounting policies of the Company. The preparation of periodic financial statements necessarily involves the use of estimates and approximations. Should the underlying assumptions change, the actual amounts could differ from those estimates.

(a) Principles of consolidation

The Consolidated Financial Statements include the accounts of the Company and its subsidiaries. Investments in associated companies, over which the Company exercises significant influence, are accounted for by the equity method. Variable Interest Entities ("VIE's"), as defined by Accounting Guideline 15 – "Consolidation of Variable Interest Entities" (AcG-15), are consolidated by the Company when it is determined that the Company will, as the primary beneficiary, absorb the majority of the VIE's expected losses and/or expected residual returns.

(b) Translation of foreign currencies

The accounts of the Company are presented in Canadian dollars. The financial statements of foreign subsidiaries, whose unit of measure is not the Canadian dollar, are translated into Canadian dollars using the exchange rate in effect at the year end for assets and liabilities and the average exchange rates for the period for revenue and expenses. Exchange gains or losses on translation of foreign subsidiaries are deferred and included as a separate component in shareholders' equity until realized.

(c) Hedging arrangements

The Company enters into hedging arrangements to manage its exposure to currency, commodity price and interest rate fluctuations. The Company uses hedge accounting to record for these derivative transactions.

The Company formally documents all relationships between hedging instruments and hedged items, as well as its risk management objective and strategy for undertaking various hedged transactions. This process includes assigning all derivatives to specific assets and liabilities on the balance sheet or to specific firm commitments or anticipated transactions. The Company formally assesses, using regression analysis, both at the inception of the hedge and on a quarterly basis, whether the derivatives that are used in hedging transactions are effective in offsetting the changes in the fair values or the cash flows of hedged items.

The Company uses currency forward contracts and options to hedge its exposures to transactions denominated in foreign currencies. The Company also uses futures and options to hedge its exposures to commodity based transactions (wheat and grain purchases). When the criteria for hedge effectiveness is met, the gains and losses on the currency and/or commodity hedging instruments are recognized in the consolidated financial statements in the same period as the underlying transaction is recorded in net earnings. Any accrued amounts receivable and payable under the terms of such contracts are included in accounts receivable and accounts payable, respectively. When hedge effectiveness is not met, the Company records the fair value of the hedging items as other liabilities or assets on the balance sheet. Any resulting gains or losses are recorded in operating earnings. Where the Company enters into forward exchange contracts to hedge the principal and/or interest on related debt payable in foreign currencies, unrealized losses or gains on such contracts are matched with exchange gains or losses on the debt and/or interest payable.

The Company enters into interest rate and foreign exchange swaps to reduce the impact of fluctuating interest rates and exchange rates on short-term and long-term debt. The Company designates its interest rate hedge agreements and foreign exchange swaps relating to debt as hedges of the underlying debt. The interest rate swap agreements involve the periodic exchange of payments without the exchange of the notional principal amount upon which the payments are based. Interest expense on the debt is adjusted to include the payments made or received on the interest rate swaps. The related amount payable to or receivable from counterparties is included as an adjustment

to accrued interest. Any exchange gain or loss arising on the designated borrowings is offset against the unrealized exchange gain or loss arising on translation of the foreign exchange component of the swaps. The liability for the foreign exchange component of the swap is included in other liabilities.

The Company designates its cross currency swap as a hedge of its net investment in its U.S. based businesses. Any exchange gain or loss on its cross currency swap is offset against the unrealized exchange gain or loss arising on translation of the U.S. dollar financial statements of these businesses and is included in the unrealized foreign currency adjustment account in shareholders' equity.

Realized and unrealized gains or losses associated with derivative instruments that have been terminated or cease to be effective prior to maturity are recorded as deferred liabilities or assets on the balance sheet and recognized in income in the period in which the underlying hedged transaction is recognized. In the event the designated hedged item is sold, extinguished or matures prior to the termination of the related derivative instrument, any unrealized gain or loss on such derivative instrument is recognized immediately in income.

(d) Revenue recognition

The Company recognizes revenues from product sales upon transfer of title to customers. Revenue is recorded at the invoice price for each product net of estimated returns. An estimate of sales incentives provided to customers is also recognized at the time of sale and is classified as cost of sales. Sales incentives include various rebate and promotional programs with the Company's customers, primarily rebates based on achievement of specified volume or growth in volume levels.

(e) Inventories

Inventories are valued at the lower of cost and net realizable value, with cost being determined substantially on a first-in, first-out basis. Included in the cost of inventory are direct product costs, direct labour and an allocation of variable and fixed manufacturing overhead including depreciation.

(f) Property and equipment

Property and equipment are recorded at cost including, where applicable, interest capitalized during the construction or development period. Depreciation is calculated using the straight-line basis at the following rates, which are based on the expected useful lives of the assets:

Buildings	2.5% to 5%
Machinery and equipment	10% to 33%

(g) Deferred financing costs

Costs incurred to obtain long-term debt financing are amortized over the term of such debt and are included in interest expense for the year.

(h) Goodwill and other intangibles

Goodwill is the residual amount that results when the purchase price of an acquired business exceeds the sum of the amounts allocated to the identifiable tangible and intangible assets acquired, less liabilities assumed, based on their fair values. Goodwill is allocated as of the date of the business combination to the Company's reporting units that are expected to benefit from the synergies of the business combination. The Company assigns value to certain acquired identifiable intangible assets, primarily brands and delivery routes. Definite life intangibles are amortized over their estimated useful life. Goodwill is tested for impairment annually in the second quarter and otherwise as required if events occur that indicate that it is more likely than not that the fair value of the reporting unit has been impaired. Impairment of goodwill is tested at the reporting unit level by comparing the reporting unit's carrying amount to its fair value.

(i) Income taxes

The Company uses the asset and liability method of accounting for income taxes. Accordingly, future tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of assets and liabilities and their respective tax bases. Future tax assets and liabilities are measured using enacted or substantively

Notes to Consolidated Financial Statements

Years ended December 31, 2005 and 2004 (Tabular amounts in thousands of Canadian dollars, except share amounts)

enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. In addition, the effect on future tax assets and liabilities of a change in tax rates is recognized in income in the year that includes the enactment or substantive enactment date.

(j) Employee benefit plans

The Company accrues obligations and costs in respect of employee benefit plans. The cost of pensions and other retirement benefits earned by employees is actuarially determined using the projected benefit method prorated on service and management's best estimate of expected plan investment performance, salary escalation and retirement ages of employees. Changes in these assumptions could affect future pension expense. For the purpose of calculating the expected return on plan assets, those assets are valued at fair value. Past service costs arising from plan amendments are amortized on a straight-line basis over the average remaining service period of employees active at the date of amendment.

Actuarial gains and losses in excess of 10% of the greater of the actuarial liabilities and the market value of assets and all gains and losses due to changes in plan provisions are amortized on a straight line basis over the expected average remaining service period of the active plan members. When a restructuring of a benefit plan gives rise to both a curtailment and settlement of obligations, the curtailment is accounted for prior to the settlement.

(k) Statement of cash flows

Cash and cash equivalents are defined as cash and short-term securities with maturities less than 90 days at the date of acquisition, less bank indebtedness.

(l) Accounting changes

(i) Convertible debentures

Effective January 1, 2005, the Company adopted the amendment to Canadian accounting principles, section 3860 – "Financial Instruments – Disclosure and Presentation", on a retroactive basis with restatement of prior periods. The revised standard, which is effective for 2005, requires obligations of a fixed amount that may be settled, at the issuer's option, by a variable number of the issuer's own equity instruments to be presented as liabilities. As a result of adopting the revised standard, the Company retroactively reclassified $20 million of convertible debt as a liability on the balance sheet. The Company had previously included the $20 million related to a debt facility with Maple Leaf in equity, due to the fact that it can be settled, at the option of Canada Bread, in common shares. There was no impact on net earnings, basic or diluted earnings per share for prior periods as a result of adopting this change retroactively.

(ii) Accounting by a vendor for consideration given to a customer

Effective January 1, 2006 the Company adopted the provisions of EIC Abstract 156 "Accounting by a Vendor for Consideration Given to a Customer (including a reseller of the vendor's products)". The new guidance requires vendors to classify certain consideration provided to customers as a reduction of revenue rather than as cost of sales unless the vendor receives, or will receive, an identifiable benefit in exchange for the consideration. The impact of the adoption of this standard on the results for the year ended December 31, 2005 would be a reduction in sales of approximately $120 million (2004: $112 million). There will be no impact on earnings from operations or earnings per share.

(iii) Variable interest entities

The Company adopted the guidance in Accounting Guideline 15, "Consolidation of Variable Interest Entities" retroactively without restatement of prior periods, effective January 1, 2005. This guideline addresses the consolidation of variable interest entities, which are entities that have insufficient equity and/or their equity investors lack one or more specified essential characteristics of a controlling financial interest. The guideline also provides guidance for determining who, if anyone, should consolidate the variable interest entity. The adoption of this guideline did not have a material impact on the Company.

(m) Comparative figures

Certain 2004 comparative figures have been reclassified to conform to the financial statement presentation adopted in 2005.

3. ACCOUNTS RECEIVABLE

Under a revolving securitization program, the Company has sold certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and retains limited recourse obligations for delinquent receivables. At December 31, 2005, trade accounts receivable amounting to $70 million (2004: $70 million) had been sold under these programs.

4. INVENTORIES

	2005	2004
Material held for production	$ 25,104	$ 22,539
Finished products	10,851	10,965
	$ 35,955	$ 33,504

5. PROPERTY AND EQUIPMENT

	2005	2004
Land	$ 24,914	$ 27,663
Buildings	133,257	130,113
Machinery and equipment	415,362	393,578
Construction in progress	40,096	49,869
	613,629	601,223
Less: accumulated depreciation	259,960	247,095
	$ 353,669	$ 354,128

6. LONG-TERM DEBT

	2005	2004
Due to Maple Leaf (a)	$ 32,029	$ 90,850
Other	–	562
Obligations under capital leases	280	414
	32,309	91,826
Less: Current portion	226	91,482
	$ 32,083	$ 344

(a) On October 26, 2005, the Company reached an agreement with Maple Leaf to amend its revolving credit agreement. Under the new financing arrangement, the term of the facility was extended for three years and now matures on December 27, 2008. To provide additional liquidity, the principal amount of the facility was increased from $169 million to $250 million and the borrowing rate reduced to reflect lower market credit spreads consistent with current market trends. The facility bears interest based on Bankers' Acceptance rates for Canadian dollar loans and LIBOR for U.S. dollar loans.

At December 31, 2005, a total of $88.4 million (2004: $141.9 million) was drawn. Netted against this amount is a $56.4 million (2004: $51.1 million) receivable related to the Company's five-year cross-currency swap with Maple Leaf (Note 7). The swap has a current unrealized gain of $63.0 million, of which $56.4 million represents the portion of the gain related to currency translation that must be recorded on the balance sheet. Under the terms of the debt facility, each party has the legal right to set off any amounts owed by it to the other party against any amounts receivable from the other party. Accordingly, the currency gain has been recorded as a reduction of long-term debt.

Under the previous facility, Canada Bread had the option to repay up to $20 million of debt outstanding in common shares. This option is no longer available under the amended facility.

Net interest paid to Maple Leaf under these facilities was $2.9 million in 2005 (2004: $2.0 million).

(b) In 2001, Canada Bread established a debt facility with a syndicate of banks to finance the acquisition of Multi-Marques Inc. and to provide liquidity for general corporate purposes. The facility matured in July 2005. Consequently, as of December 31, 2005, no amounts are outstanding (2004: the available facility amount was $58.5 million, of which $7.9 million was utilized in respect of letters of credit).

(c) The Company has undrawn demand operating facilities of $21.7 million (2004: $22.0 million), and letter of credit facilities of $10 million, which bear interest at short-term rates. At December 31, 2005, $8.1 million was utilized under these facilities of which the full amount was in respect of letters of credit.

The Company's blended average effective cost of borrowing for 2005 was 3.4% (2004: 2.7%), after adjusting for payments made under swap contracts in place in 2005 (see Note 7).

Notes to Consolidated Financial Statements

Years ended December 31, 2005 and 2004 (Tabular amounts in thousands of Canadian dollars, except share amounts)

Required repayments of long-term debt are as follows.

2006	$ 226
2007	54
2008	32,029
Thereafter	–
	$ 32,309

7. DERIVATIVE FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

In the ordinary course of business, the Company has entered into derivative financial instruments with Maple Leaf Foods as its counterparty to reduce underlying risks associated with foreign currency and interest rates.

Foreign currency risk management

The Company uses foreign currency forward contracts and options to manage its currency exposures. The currency exposure relates primarily to U.S. dollar-denominated export sales and U.S. dollar linked commodities, primarily flour.

At December 31, 2005, the Company had outstanding commitments to buy US$0.6 million (2004: US$0.9 million) at an average rate of 1.2096. At that date, if the Company had decided to terminate these commitments at prevailing market rates, it would have incurred a loss of $0.1 million (2004: gain of $0.1 million).

Interest rate risk management

The Company uses interest rate swaps to manage its exposure to interest rate fluctuations. At December 31, 2005, the Company had entered into interest rate swap contracts with Maple Leaf, having an aggregate notional amount of $130.0 million (2004: $150.0 million) and maturity dates ranging from June 28, 2007 to June 28, 2014. The fixed rates payable by the Company under these contracts range from 4.0% to 5.4%. The floating rates are based on the three-month bankers' acceptance rate.

Based on market values at December 31, 2005, the Company would have realized a loss of $4.5 million (2004: loss of $5.4 million) if it terminated the above-noted swap agreements.

In 2003, the Company entered into a five-year cross-currency swap with Maple Leaf to hedge U.S. dollar-denominated assets. This swap requires Canada Bread to pay interest of 3.48% per annum on US$140.0 million and receive interest of 4.45% per annum on CAD$219.6 million. Based on market values as at December 31, 2005, the Company would have realized a gain of $63.0 million if it terminated the above-noted swap agreement. Since this instrument was designated to hedge the currency translation on the Company's U.S. dollar-denominated assets, the portion of the gain related to currency translation ($56.4 million) has been recorded in the cumulative translation account. This amount has also been recorded as a reduction of long-term debt (Note 6).

Commodity price risk management

The Company uses a variety of third party derivative instruments to manage its exposure to commodity price fluctuations. Based on market values at December 31, 2005, the Company would have realized a gain of $2.0 million (2004: loss of $1.3 million) to terminate these outstanding contracts.

Fair values of financial assets and liabilities

Fair values of cash and cash equivalents, accounts receivable, accounts payable and accrued charges, and the current portion of long-term debt approximate their carrying values due to their short-term nature. The fair value of long-term indebtedness pursuant to the Company's facilities approximates its carrying value as it bears interest at floating rates.

8. OTHER LONG-TERM LIABILITIES

	2005	2004
Post-retirement benefit liability	**$ 3,231**	$ 1,948
Other	**2,518**	1,678
	$ 5,749	$ 3,626

9. SHAREHOLDERS' EQUITY

Shareholders' equity consists of the following.

	2005	2004
Share capital (25,416,812 common shares (2004: 25,416,812 common shares))	**$ 142,965**	$ 142,965
Retained earnings	**406,649**	337,827
Unrealized foreign currency adjustment	**(14,882)**	(4,331)
	$ 534,732	$ 476,461

The authorized share capital of the Company consists of an unlimited number of common shares.

10. RESTRUCTURING COSTS

	Asset write-offs	Other	Total
Restructuring cost during the period	$ 3,348	$ 1,375	$ 4,723
Usage	(3,348)	(728)	(4,076)
Balance at December 31, 2005	$ –	$ 647	$ 647

During the first quarter of 2005, the Company recorded $4.7 million in restructuring costs ($3.2 million after-tax), relating primarily to the closure of its bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf. Included in the $4.7 million were provisions of $1.4 million relating to employee terminations, facility exit costs and other restructuring costs. Of the $1.4 million in provisions, $0.7 million was paid in 2005.

During 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million after-tax) relating to plant closures and operational restructuring. Included in the $7.4 million were provisions of $6.1 million relating to employee terminations, facility exit costs, and other restructuring costs. Of the $6.1 million in provisions, $0.7 million was paid in 2005 (2004: $1.9 million) and $0.2 million was returned to earnings leaving a balance of $nil at December 31, 2005.

11. OTHER INCOME (EXPENSE)

	2005	2004
Gain/(loss) on sale of property and equipment	**$ 1,695**	$ (19)
Other	**173**	144
	$ 1,868	$ 125

12. INTEREST EXPENSE

	2005	2004
Interest expense on long-term debt	**$ 3,452**	$ 3,041
Other net interest expense (income)	**1,934**	3,796
	$ 5,386	$ 6,837

13. INCOME TAXES

Income tax expense varies from the amount that would be computed by applying the combined federal and provincial statutory income taxes rate as a result of the following.

	2005	2004
Income tax expense according to combined statutory rate of 33.8% (2004: 33.8%)	**$ 34,770**	$ 31,202
Increase (decrease) in income taxes resulting from:		
Manufacturing and processing credit	**(862)**	(668)
Rate difference in foreign jurisdictions	**(3,897)**	(4,342)
Non-taxable gains	**204**	(27)
Large corporations tax	**66**	184
Other	**(2,372)**	(739)
	$ 27,909	$ 25,610

The tax effects of temporary differences that give rise to significant portions of the future tax assets and future tax liabilities at December 31 are presented below.

	2005	2004
Future tax assets:		
Accrued assets	**$ 2,112**	$ 940
Loss carry forward	**20,504**	16,913
Other	**3,515**	3,148
	$ 26,131	$ 21,001
Future tax liabilities:		
Plant and equipment - differences in net book value and undepreciated capital cost	**$ 27,731**	$ 23,859
Other	**7,707**	8,264
	$ 35,438	$ 32,123
Classified in the consolidated financial statements as:		
Future tax asset - current	**$ 5,327**	$ 5,193
Future tax asset - non-current	**8,669**	5,465
Future tax liability - non-current	**(23,303)**	(21,780)
Net future tax liability	**$ (9,307)**	$ (11,122)

Notes to Consolidated Financial Statements

Years ended December 31, 2005 and 2004 (Tabular amounts in thousands of Canadian dollars, except share amounts)

14. PENSIONS AND OTHER POST-RETIREMENT BENEFITS

Information about the Company's defined benefit plans as at December 31 is as follows.

	2005	2004
Accrued benefit obligation:		
Balance, beginning of year	**$ 108,856**	$ 104,599
Current service cost	**2,982**	2,560
Interest cost	**6,253**	6,004
Benefits paid	**(7,355)**	(7,875)
Actuarial losses	**12,427**	2,596
Employee contributions	**936**	972
Balance, end of year	**$ 124,099**	$ 108,856
Plan assets:		
Fair value, beginning of year	**$ 93,397**	$ 90,376
Actual return on plan assets	**12,173**	7,465
Employer contributions	**1,881**	2,616
Employee contributions	**936**	972
Benefits paid	**(7,355)**	(7,875)
Asset transfer to Company defined contribution plan	**–**	(157)
Fair value, end of year	**$ 101,032**	$ 93,397
Funded status - plan surplus (deficit)	**$ (23,067)**	$ (15,459)
Unamortized transitional amount	**(7,447)**	(8,225)
Unamortized actuarial losses	**29,849**	23,619
Unamortized prior service cost	**1,025**	1,124
Accrued benefit asset	**$ 360**	$ 1,059

The accrued benefit asset is included in Other Assets on the balance sheet.

The pension assets are invested in the following asset categories at December 31, 2005 and December 31, 2004.

	2005	2004
Equity securities	**72%**	62%
Debt securities	**28%**	38%
	100%	100%

The significant actuarial assumptions adopted in measuring the Company's accrued benefit obligations are as follows as of December 31.

	2005	2004
Discount rate used to calculate net benefit plan expense	**5.75%**	6.00%
Discount rate used to calculate year-end accrued benefit obligation	**5.00%**	5.75%
Expected long-term rate of return on plan assets	**7.50%**	7.50%
Rate of compensation increase	**4.00%**	4.00%

The Company's net benefit plan expense for the year ended December 31 is as follows.

	2005	2004
Current service cost - defined contribution plans	**$ 6,832**	$ 6,186
Current service cost - defined benefit plans	**2,982**	2,560
Interest cost	**6,253**	6,004
Actual return on plan assets	**(12,173)**	(7,465)
Difference between actual and expected return on assets	**5,325**	882
Actuarial loss recognized	**12,427**	6,013
Difference between actual and recognized actuarial gains (losses) in the year	**(11,555)**	(5,325)
Amortization of transitional obligation	**(778)**	(778)
Amortization of prior service cost	**96**	96
Net benefit plan expense	**$ 9,409**	$ 8,173

A 1% change in health care cost trend would not have significant impact on the year end obligation or the 2005 current service cost and interest costs.

Measurement dates for defined benefit plan obligations and expense.

2005 Expense	December 31, 2004
Balance Sheet	December 31, 2005

In addition, the Company has accrued and included in other long-term liabilities $3.2 million (2004: $1.9 million) in respect of post-retirement benefit obligations.

15. RELATED PARTY TRANSACTIONS

Maple Leaf provides the Company with certain management services, including treasury, taxation, internal audit, accounting and access to bulk purchasing programs. Pursuant to a Management and Affiliation Agreement entered into in August

1995, the Company paid a management and affiliation fee of $8.2 million (2004: $7.0 million) to Maple Leaf.

The Company received certain information system services from Maple Leaf for a cost of $5.7 million (2004: $4.6 million).

The Company received certain engineering services from Maple Leaf for a cost of $1.2 million (2004: $1.3 million).

16. ACQUISITIONS

In 2002, the Company acquired Olafson's Baking Company Inc. of Delta, British Columbia, a manufacturer of premium value-added fresh bakery products. The initial purchase price was $11.5 million with additional consideration of up to $10.2 million payable until February 28, 2004, depending on the attainment of certain financial targets. A payment of $3.2 million was made in 2003 and the Company made a final $5.9 million payment related to this purchase in 2004. A portion of this payment had been previously accrued and, as a result, only $1.6 million of this payment resulted in an increase to goodwill in 2004.

Of the total purchase price, $1.1 million had been withheld in escrow pending final settlement with the vendors. During 2005, upon final settlement, the Company received $0.7 million from escrow which was recorded as a decrease in goodwill.

The following table provides details of the activity in the accrued restructuring liabilities associated with acquired businesses since 2002.

	Employee termination costs	Other exit costs	Total
Balance at January 1, 2005	$ 972	$ 4,266	$ 5,238
Returned to goodwill	–	(500)	(500)
Cash payments	(9)	(819)	(828)
Transferred	(22)	–	(22)
Balance at Dec. 31, 2005	$ 941	$ 2,947	$ 3,888

17. CONTINGENCIES AND COMMITMENTS

(a) The Company has been named as a defendant in several legal actions and is subject to various risks and contingencies arising in the normal course of business. Management is of the opinion that the outcome of these uncertainties will not have a material adverse effect on the Company's financial position.

(b) In the normal course of business, the Company enters into sales commitments with various customers and suppliers. These commitments are for varying terms and can provide for fixed or variable prices. With respect to certain of its contracts, the Company has the right to acquire at fair value, and the suppliers have the right to sell back to the Company certain assets, which have an estimated fair value of $12.3 million (2004: $13.4 million). The Company believes that these contracts serve to reduce risk, and it is not anticipated that losses will be incurred on these contracts.

(c) The Company has operating lease commitments in respect of property and equipment used in operations that require minimum annual payments as follows.

2006	$ 13,459
2007	10,250
2008	7,501
2009	4,226
2010	2,652
Thereafter	5,114
	$ 43,202

18. EARNINGS PER SHARE

The following table sets forth the calculation of basic and diluted earnings per share.

	2005	2004
Numerator:		
Net earnings	**$ 74,922**	$ 66,648
Interest on convertible debt (Note 6(a))	**398**	376
Earnings available to common shareholders	**$ 75,320**	$ 67,024
Denominator:		
Weighted average common shares outstanding (in thousands)	**25,417**	25,417
Effect of dilutive securities (in thousands):		
Convertible debt	**326**	628
Weighted average shares – diluted (in thousands)	**25,743**	26,045

	2005	2004
Earnings per share:		
Basic	**$ 2.95**	$ 2.62
Diluted	**2.93**	2.57

Notes to Consolidated Financial Statements

Years ended December 31, 2005 and 2004 (Tabular amounts in thousands of Canadian dollars, except share amounts)

19. SEGMENTED FINANCIAL INFORMATION

The Company's operations are classified into the following two primary business segments, which have been used for the operating segment disclosures for all years presented:

(a) Fresh Bakery includes fresh bakery products and specialty fresh pasta and sauces.

(b) Frozen Bakery includes North American and U.K. frozen bakery products including frozen par-baked and specialty bakery products.

The presentation of segmented financial information for the current year has been prepared using the same accounting policies as were applied in the presentation for December 31, 2004, except that the disclosed amounts of segmented total assets has been revised to reflect the securization of accounts receivable attributable to each segment.

	2005	2004
Sales to customers		
Fresh Bakery	**$ 951,885**	$ 929,476
Frozen Bakery	**394,596**	389,389
	$ 1,346,481	$ 1,318,865
Earnings from operations, before restructuring costs		
Fresh Bakery	**$ 81,965**	$ 67,214
Frozen Bakery	**29,107**	31,756
	$ 111,072	$ 98,970
Capital expenditures		
Fresh Bakery	**$ 29,814**	$ 31,315
Frozen Bakery	**24,916**	38,307
	$ 54,730	$ 69,622
Depreciation and amortization		
Fresh Bakery	**$ 22,907**	$ 22,096
Frozen Bakery	**21,444**	20,192
	$ 44,351	$ 42,288
Total assets		
Fresh Bakery	**$ 360,842**	$ 354,972
Frozen Bakery	**351,737**	348,196
Non-allocated assets	**48,784**	64,475
	$ 761,363	$ 767,643

ANNUAL REPORT

Corporate Information

DIRECTORS

Michael H. McCain
Chairman of the Board

Richard A. Lan
President and
Chief Executive Officer

William E. Aziz
John L. Bragg O.C.
Sarah A. Everett
G. Wallace F. McCain O.C.
J. Scott McCain
Thomas P. Muir
John F. Petch

CORPORATE OFFICE

10 Four Seasons Place
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www.canadabread.ca

STOCK EXCHANGE LISTING AND STOCK SYMBOL

The Company's common shares are listed on The Toronto Stock Exchange and trade under the symbol "CBY".

COMPANY INFORMATION

For public and investor relations inquiries, please call 416-926-2000.

Copies of the Company's annual and interim reports, Annual Information Form and other disclosure documents filed with regulatory authorities are available from the Corporate Secretary upon request. Please contact: 416-926-2000.

ANNUAL MEETING

The Annual Meeting of the Shareholders of Canada Bread Company, Limited will be held at the Albany Club, 91 King Street East, Toronto, Ontario on Wednesday, May 3, 2006 at 11:00 a.m.

AUDITORS

KPMG LLP

REGISTRAR AND TRANSFER AGENT

Computershare Investor Services Inc.

SHAREHOLDER INFORMATION

Inquiries regarding dividends, change of address, transfer requirements or lost certificates should be directed to the Company's transfer agent:
Computershare Investor Services Inc.
Stock and Bond Transfer Department
100 University Avenue, 9th Floor
Toronto, Ontario, M5J 2Y1, Canada
Tel: 514-982-7555 or
1-800-564-6253
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